Feburary 19, 2026

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Re: Response of the Vehicle Grid Integration Council to Advice Letter 7822-E of Pacific Gas and Electric Company: PG&E's 2026 Low Carbon Fuel Standard Implementation Plan

Dear Sir or Madam:

Pursuant to the provisions of General Order 96-B, the Vehicle Grid Integration Council ("VGIC") hereby submits this Response to the above-referenced Advice Letter 7822-E of Pacific Gas and Electric Company ("PG&E"), *PG&E's 2026 Low Carbon Fuel Standard Implementation Plan* ("Advice Letter") submitted on January 30, 2026.

I. INTRODUCTION.

VGIC commends PG&E for proposing the Residential Optimized Charging Program and for pursuing Low Carbon Fuel Standard ("LCFS") funding to advance vehicle-grid integration ("VGI"). PG&E's 2026 LCFS Implementation Plan presents an important opportunity to translate the modeled benefits of electrification into tangible grid value. As PG&E identified in its Electrification Impact Study Part 2 ("EIS Part 2"), active EV charging management and bidirectional capability together represent significant sources of incremental load flexibility that can improve reliability, reduce distribution system costs, and preserve the rate benefits of transportation electrification. [1]

VGIC supports PG&E's Residential Optimized Charging Program as a data-supported use of LCFS holdback funds. We also recommend that PG&E consider using these funds to scale deployment of the following VGI equipment and strategies: bidirectional charging systems and non-residential automated load management ("ALM") solutions. Together, these strategies can maximize the grid benefits of EV adoption using non-ratepayer funding: a clear win-win-win for ratepayers, participating EV customers, and California's decarbonization goals.

II. DISCUSSION.

A. PG&E's Residential Optimized Charging Program is a prudent and data-supported use of LCFS Holdback Funds.

[1] PG&E, *Electrification Impacts Study Part 2 Report*, January 28, 2026, filed in Rulemaking ("R.") 21-06-017, https://docs.cpuc.ca.gov/PublishedDocs/Efile/G000/M596/K907/596907812.PDF ("PG&E EIS Part 2")

PG&E's proposed Residential Optimized Charging Program is a logical next step to unlock additional grid benefits from EVs. As identified in PG&E's EIS Part 2, active EV charging management and dynamic pricing have the potential to unlock 1,007 MW of load flexibility across the PG&E system by 2040.[2] The Residential Optimized Charging Program is a critical mechanism to translate those modeled benefits into real-world grid value.

As PG&E explains in the Advice Letter, the program is designed to align EV charging more closely with localized grid needs, resulting in downward rate pressure and increased capital flexibility.[3] While time-of-use rates can shift charging into off-peak windows, optimized charging smooths load within those windows and mitigates "timer peaks" that can otherwise stress secondary distribution equipment.[4] This distinction becomes increasingly important as EV adoption accelerates and localized constraints become more prevalent.

Importantly, PG&E's proposal builds on nearly a decade of managed charging pilots and research. The evPulse Pilot and EV Charge Manager Program have already demonstrated measurable results. **The EV Charge Manager Program showed that optimization lowered peak load across 89% of transformers at risk of exceeding 100% capacity and enrolled approximately 6,500 customers.[5] The Residential Optimized Charging Program appropriately moves from pilot-scale deployment to broader implementation, with the potential to engage tens of thousands of customers.[6]**

By reducing the likelihood of distribution upgrades and preserving the rate benefits of electrification, the program advances the same system-level outcomes identified in EIS Part 2: improved reliability, lower infrastructure costs, and increased load flexibility. These benefits are achieved using LCFS holdback funds rather than ratepayer dollars. VGIC therefore supports the Residential Optimized Charging Program as a prudent, data-driven use of LCFS revenues.

B. PG&E should seek to support the deployment of bidirectional charging systems with LCFS Holdback Funds.

As PG&E continues refining its LCFS holdback portfolio to maximize grid value, it should include targeted support for bidirectional charging system deployment. PG&E's EIS Part 2 found that 859 MW of additional demand flexibility could be unlocked through bidirectional EV exports.[7] ***Importantly, this 859 MW is incremental to the 1,007 MW of flexibility associated with active managed charging.*** While managed charging reduces or shifts load, bidirectional charging

[2] PG&E EIS Part 2 at 34.
[3] Advice Letter at 15.
[4] Advice Letter at 18.
[5] Advice Letter at 18-19.
[6] Advice Letter at 26.
[7] PG&E EIS Part 2 at 34.

behavior transforms EVs into dispatchable distributed energy resources capable of supplying energy back to the grid.

Bidirectional vehicle and charger availability is expanding rapidly across light-, medium-, and heavy-duty segments. From a system perspective, bidirectional capability meaningfully increases the magnitude of available flexibility. For example, if traditional managed charging typically avoids or shifts approximately 10 kW of charging load per vehicle, a bidirectional system can both avoid charging and discharge energy to serve on-site load or export beyond the meter, effectively doubling the flexibility potential to approximately 20 kW per participating vehicle.

PG&E has been a leader in this space through its VGI / V2X pilots, which have demonstrated bidirectional use cases across residential and commercial sectors. However, current VGI pilot funding is expected to sunset in 2027. As those pilots conclude, it is prudent for PG&E to begin planning for a transition from pilot-scale demonstrations to an offering that better facilitates the market's transition to full-scale, programmatic support.

LCFS holdback funds are an appropriate and strategic funding mechanism for this next phase. CARB's updated LCFS regulation explicitly identifies bidirectional charging equipment deployment as an eligible use of holdback proceeds. PG&E should therefore leverage this non-ratepayer funding source to unlock incremental load flexibility that would otherwise remain unrealized and to scale a resource that directly supports reliability, rate stability, and decarbonization goals. **VGIC respectfully urges PG&E to file a supplemental AL to leverage a portion of LCFS holdback funds to support this critical emerging use case. While PG&E has identified bidirectional charging solutions can unlock 859 MW of incremental load flexibility, it has not yet detailed its strategy for unlocking this scale.**

C. PG&E should pursue programs to support the adoption of non-residential Automated Load Management ("ALM") solutions.

In the Advice Letter, PG&E states that it considered a non-residential ALM program for this 2026 Holdback Implementation plan, but that it decided not to pursue this program. PG&E states that more data is required "on the benefits ALM can provide for upfront capacity reduction and how ALM fits into existing PG&E processes."[8] However, there are ample benefits from ALM that have already been shown, including in third-party evaluator reporting on PG&E's own programs, and PG&E should pursue a non-residential ALM program to unlock these benefits.

In the Advice Letter, PG&E cites a report from Cadmus Group and CLEAResult Energetics that discusses lessons learned from the California utilities' EV infrastructure programs and outlines

[8] Advice Letter at 11.

the benefits of an ALM program. In particular, the report notes that "Most fleet operators have not implemented load management, resulting in higher electricity costs."[9] The report further describes:

> Across all Utility MDHD programs, only 45 of the 219 activated sites (21%) exhibited use of load management. Across these programs, as much as 40% of charging consumption shows enough flexibility to be shifted to lower cost time periods. The school bus market sector has the greatest flexibility, with 49% of charging sessions overlapping with the highest cost time of 4 p.m. to 9 p.m. The greatest flexibility across all market sectors by utility is for medium-duty vehicles in PG&E territory, with 59% of energy able to be shifted to lower cost time periods.[10]

The report then recommends that the utilities adopt mechanisms to expand load management technologies and adoption among fleets. [11]

Given clear evidence of the benefits of expanding load management and ALM, PG&E should develop a program to advance this technology. While some elements of the program may still require refinement, it is not too early for PG&E to put forward an incentive program for this sector to offset the costs of the software and/or hardware required to enable ALM for non-residential customers. PG&E has also acknowledged further refinements that will be required for the two programs that are being put forward in this Advice Letter, with PG&E noting areas where flexibility will be maintained to ensure that PG&E can update plans as additional data becomes available. This approach can also be used for an ALM incentive and would allow PG&E to put forward a proposal now while retaining flexibility to update plans as new learnings arise.

D. PG&E be given ample flexibility in contracting with one or more aggregators.

PG&E states that it plans to issue a competitive solicitation in Q3 2026 to select one ***or more*** Managed Charging Service Providers (MCSPs) to operate the program.[12] PG&E also expects to finalize agreements with one or more automakers or retailers between Q1 and Q2 2027 to further create bundled incentive offerings.[13] VGIC encourages PG&E to engage with the parties, both MCSPs and retailers, that are best suited to support customer outreach and program resilience as revealed through common competitive procurement practices. By following long-established practices for developing partnerships with industry leaders, PG&E can directly address this risk.

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[9] Cadmus Group and CLEAResult Energetics, "Standard Review Projects and AB 1082/1083 Pilots Evaluation Year 2024", September, 2025, at p.7 accessed at https://www.cpuc.ca.gov/-/media/cpuc-website/divisions/energydivision/documents/sb-350-te/srp-ab10821083-2024-evaluation-report092025.pdf
[10] Ibid.
[11] Ibid at 8.
[12] Advice Letter at 32.
[13] Advice Letter at 26.

III. CONCLUSION.

VGIC appreciates the opportunity to submit this Response to the Advice Letter. We look forward to collaborating with stakeholders on this important initiative.

Respectfully submitted,

/s/ Zach Woogen

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cc: Sidney Bob Dietz II c/o Megan Lawson, PG&E (PGETariffs@pge.com)
Service list of R.23-12-008